

ABC BANK GROUP

ANNUAL REPORT & FINANCIAL STATEMENTS — FISCAL YEAR 2024

Delivering sustainable value through disciplined banking, technological innovation, and an unwavering commitment to our 42-million customers across 42 countries.

Registered: 1 Capital Square, London EC2V 8RT | LSE: ABCB | Bloomberg: ABCB LN | FY End: 31 December 2024 |
ISIN: GB00B16GWD56

TABLE OF CONTENTS

01. Bank Profile & Corporate Overview	03
02. Chairman's Statement	04
03. CEO's Review of Operations	05
04. Executive Summary & Key Highlights	06
05. Shareholder Returns & Dividends	07
06. Five-Year Financial Summary	08
07. Income Statement Analysis	09
08. Profitability & Returns	10
09. Cost & Efficiency Analysis	11
10. Fee & Non-Interest Income	12
11. Business Segment Review	13
12. Balance Sheet & Funding Structure	15
13. Capital Adequacy & Regulatory Capital	16
14. Credit Ratings & Liquidity Management	17
15. Credit Quality & Impairments	18
16. Wealth Management & Private Banking	19
17. Digital Strategy & Technology	20
18. Geographic Performance	21
19. Enterprise Risk Management	22
20. Legal, Regulatory & Compliance	23
21. Human Capital & Culture	24
22. Environmental, Social & Governance	25
23. Forward-Looking Statements & Glossary	26

01. BANK PROFILE & CORPORATE OVERVIEW

ABC Bank operates across 42 countries and has approximately 87,000 employees worldwide. The Group's global network spans retail banking, corporate and investment banking, wealth management, transaction services, and insurance across six continents.

About ABC Bank Group

ABC Bank Group PLC ('the Group' or 'ABC Bank') is one of the world's leading international banking and financial services organisations. Founded in London in 1892 as the Anglo-British Colonial Bank, the institution has grown through organic expansion and strategic acquisitions into a diversified global financial group. The Group is publicly listed on the London Stock Exchange (LSE: ABCB) and is a constituent of the FTSE 100 Index. Secondary listings are maintained on the Hong Kong Stock Exchange (HKEX: 0002) and the New York Stock Exchange (NYSE: ABCB).

Corporate Structure & Legal Entities

Entity	Jurisdiction	Principal Activity	Ownership
ABC Bank PLC	UK	Group holding company	Listed
ABC Retail Bank Ltd	UK	UK retail & SME banking	100%
ABC Bank NA	USA	Corporate & investment bank	100%
ABC Bank Asia Pacific	HK	Regional HQ — Asia Pacific	100%
ABC Bank Europe SA	France	European operations	100%
ABC Wealth Management Ltd	Switzerland	Private banking & AUM	100%
ABC Insurance Holdings	Ireland	Bancassurance products	87.5%
ABC Digital Bank Ltd	Singapore	Digital-only banking brand	100%

Global Footprint

Region	Countries	Employees	Branches	Revenue (\$B)	Assets (\$B)
United Kingdom	1	24,000	812	10.1	1,240
Europe (ex-UK)	14	18,500	634	7.8	890
North America	3	16,200	421	6.4	780
Asia Pacific	15	19,800	893	6.2	920
Middle East & Africa	7	5,800	214	2.1	240
Latin America	2	2,700	88	0.9	130
TOTAL	42	87,000	3,062	33.5	4,200

02. CHAIRMAN'S STATEMENT

Dear Fellow Shareholders,

On behalf of the Board of Directors of ABC Bank Group, I am pleased to present our Annual Report for the fiscal year ended 31 December 2024. This has been a year of meaningful progress — one in which we delivered strong financial results while advancing the long-term strategic agenda that the Board set out in our 2022–2026 Transformation Plan.

The macroeconomic environment in 2024 was characterised by gradually easing inflation in developed markets, a pivot in central bank rate policy, and resilient consumer spending despite earlier headwinds. These conditions proved broadly supportive for our diversified business model. However, geopolitical tensions in several of our key markets, elevated credit costs in specific sub-portfolios, and persistent regulatory scrutiny in the compliance domain required vigilant board-level oversight throughout the year.

Our net profit of \$9.4 billion, return on equity of 12.4%, and a CET1 ratio of 13.2% reflect the underlying strength of our franchise. The Board has recommended a final dividend of \$0.85 per share, marking our sixteenth consecutive year of dividend growth. We believe this reflects both our confidence in the business and our commitment to delivering consistent shareholder returns.

During 2024, the Board undertook a comprehensive review of our risk appetite framework, with particular focus on climate-related financial risks, cyber resilience, and third-party concentration risk — three areas where we have strengthened governance materially. I am confident that the Board composition, combining deep banking expertise, digital acumen, and international diversity, positions us well to oversee the next phase of the Group's development.

I would like to extend my sincere gratitude to our 87,000 colleagues worldwide, whose dedication and professionalism underpin everything we do. I also thank our 42 million customers for their continued trust and loyalty.

Sir Jonathan H. Ashworth

Chairman, ABC Bank Group PLC

February 2025

03. CEO'S REVIEW OF OPERATIONS

Dear Stakeholders,

Fiscal year 2024 was a year in which ABC Bank demonstrated the resilience and earning power of our diversified franchise. We grew revenue by 9.1% to \$33.5 billion, improved our cost-to-income ratio from 54% to 49%, and delivered a return on equity of 12.4% — our strongest performance in over a decade and meaningfully above our 10% target.

Three strategic priorities drove our performance this year. First, deepening customer relationships in our retail and SME business, where we saw digital active users grow by 34% to 41 million and digital transaction penetration reach 73% of all retail transactions. Second, disciplined capital allocation — we invested \$3.1 billion in technology and infrastructure while maintaining a CET1 ratio well above regulatory minimums at 13.2%. Third, proactive credit management, which saw our NPL ratio fall from 2.8% to 1.9% and provision charges reduce by 34% to \$2.1 billion.

In investment banking, we faced a challenging year as global M&A volumes contracted sharply. Our fees in this segment declined 18% to \$4.7 billion. However, this was more than offset by exceptional performance in retail banking (+11% revenue growth) and wealth management (AUM up \$90 billion to \$710 billion). Our ESG commitments deepened further through the successful issuance of a \$2 billion green bond.

Looking to 2025, we expect continued revenue growth of 6–9%, a cost-to-income ratio below 48%, and further NPL improvement as our underwriting enhancements from 2022–2023 continue to season. We remain committed to our ROE target of 13–15% by 2026.

Ms. Catherine L. Barnard

Group Chief Executive Officer, ABC Bank Group PLC

February 2025

04. EXECUTIVE SUMMARY & KEY HIGHLIGHTS

ABC Bank reported total assets of \$4.2 trillion for the fiscal year 2024, a 7% increase from the previous year, reflecting organic loan growth and consolidation of two acquired entities in the Asia-Pacific region.

In 2023, net profit was \$7.8 billion. In 2024, net profit rose to \$9.4 billion, representing a year-on-year increase of \$1.6 billion or approximately 20.5%.

2024 Performance Snapshot

\$33.5B	\$9.4B	12.4%	13.2%
Total Revenue +9.1% YoY	Net Profit +20.5% YoY	Return on Equity +260 bps YoY	CET1 Capital Ratio +70 bps YoY
\$4.2T	49%	1.9%	\$0.85
Total Assets +7.0% YoY	Cost-to-Income -500 bps YoY	NPL Ratio -90 bps YoY	Dividend Per Share +18.1% YoY

Consolidated Key Performance Indicators

Metric	FY2024	FY2023	FY2022	Change YoY
Total Revenue (\$B)	33.5	30.7	28.1	↑ 9.1%
Net Interest Income (\$B)	22.1	19.6	17.4	↑ 12.8%
Non-Interest Income (\$B)	11.4	11.1	10.7	↑ 2.7%
Operating Expenses (\$B)	12.3	12.0	11.8	↑ 2.5%
Provision for Credit Losses (\$B)	2.1	3.2	3.8	↓ 34.4%
Pre-Tax Profit (\$B)	19.1	15.5	12.5	↑ 23.2%
Net Profit (\$B)	9.4	7.8	6.2	↑ 20.5%
EPS (\$)	2.50	2.07	1.65	↑ 20.8%
DPS (\$)	0.85	0.72	0.60	↑ 18.1%
Total Assets (\$T)	4.20	3.93	3.67	↑ 6.9%
Gross Loans (\$T)	2.60	2.38	2.19	↑ 9.2%
Total Deposits (\$T)	3.10	2.96	2.78	↑ 4.7%
Total Equity (\$B)	245.0	218.0	197.0	↑ 12.4%
CET1 Ratio	13.2%	12.5%	11.9%	↑ 70 bps
ROE	12.4%	9.8%	8.1%	↑ 260 bps
ROA	0.22%	0.20%	0.17%	↑ 2 bps
NIM	3.45%	3.12%	2.87%	↑ 33 bps

Metric	FY2024	FY2023	FY2022	Change YoY
Cost-to-Income Ratio	49.0%	54.0%	58.7%	↓ 500 bps
NPL Ratio	1.9%	2.8%	3.4%	↓ 90 bps
Loan-to-Deposit Ratio	83.9%	80.4%	78.8%	↑ 350 bps
LCR	138%	131%	128%	↑ 700 bps
Market Cap (\$B)	78.4	62.1	51.8	↑ 26.2%

05. SHAREHOLDER RETURNS & DIVIDENDS

The Board declared a final dividend of \$0.85 per share for fiscal year 2024, an increase of 18.1% over the \$0.72 per share paid in FY2023.

Dividends paid totalled \$3.2 billion. Net profit was \$9.4 billion. There are 3.76 billion shares outstanding, giving an EPS of approximately \$2.50 and a dividend payout ratio of approximately 34%.

Dividend History

Year	Interim DPS (\$)	Final DPS (\$)	Total DPS (\$)	Total Paid (\$B)	Payout Ratio
2024	0.38	0.47	0.85	3.20	34.0%
2023	0.32	0.40	0.72	2.71	34.7%
2022	0.27	0.33	0.60	2.26	36.5%
2021	0.22	0.28	0.50	1.88	37.0%
2020	0.18	0.22	0.40	1.50	38.5%

Share Buyback Programme

In addition to dividends, the Group executed a \$1.0 billion share buyback programme during FY2024, repurchasing 47.6 million shares at an average price of \$21.00. Total capital returned to shareholders in FY2024 was \$4.2 billion, representing a total shareholder yield of approximately 5.4% based on opening market capitalisation.

Valuation Metrics

Metric	FY2024	FY2023	FY2022
Share Price (Year-End)	\$20.85	\$16.51	\$13.78
Earnings Per Share (EPS)	\$2.50	\$2.07	\$1.65
Dividend Per Share (DPS)	\$0.85	\$0.72	\$0.60
Price-to-Earnings (P/E)	8.3x	8.0x	8.4x
Price-to-Book (P/B)	0.88x	0.78x	0.71x
Dividend Yield	4.1%	4.4%	4.4%
Market Capitalisation (\$B)	78.4	62.1	51.8
Shares Outstanding (B)	3.760	3.764	3.768

ABC Bank's credit rating was upgraded to AA- by S&P in March 2024, citing improved capital buffers, diversified earnings, and reduced non-performing loan exposure across the retail and commercial portfolio.

06. FIVE-YEAR FINANCIAL SUMMARY

The following table presents a consolidated summary of ABC Bank Group's financial performance over the five fiscal years 2020 to 2024, providing context for the Group's medium-term financial trajectory.

Metric (\$B unless noted)	FY2024	FY2023	FY2022	FY2021	FY2020
Total Revenue	33.5	30.7	28.1	25.6	23.1
Net Interest Income	22.1	19.6	17.4	15.8	14.2
Non-Interest Income	11.4	11.1	10.7	9.8	8.9
Operating Expenses	12.3	12.0	11.8	11.4	11.1
Prov. for Credit Losses	2.1	3.2	3.8	4.5	5.2
Net Profit	9.4	7.8	6.2	4.8	3.9
Total Assets	4,200	3,930	3,670	3,410	3,190
Gross Loans	2,600	2,380	2,190	2,010	1,850
Total Deposits	3,100	2,960	2,780	2,610	2,430
Total Equity	245	218	197	179	164
CET1 Ratio	13.2%	12.5%	11.9%	11.4%	10.9%
ROE	12.4%	9.8%	8.1%	6.7%	5.8%
Cost-to-Income	49.0%	54.0%	58.7%	59.4%	63.2%
NPL Ratio	1.9%	2.8%	3.4%	4.1%	5.0%
EPS (\$)	2.50	2.07	1.65	1.27	1.04
DPS (\$)	0.85	0.72	0.60	0.50	0.40

07. INCOME STATEMENT ANALYSIS

The bank's net interest margin (NIM) stood at 3.45% in Q4 2024, compared to 3.12% in Q4 2023, reflecting disciplined asset pricing and the pass-through of higher central bank policy rates to the lending book.

Net interest income was \$22.1 billion in 2024 versus \$19.6 billion in 2023. Non-interest income was \$11.4 billion in 2024 versus \$11.1 billion in 2023.

The bank's interest expense rose 22% to \$8.9 billion due to higher central bank policy rates, partially offset by improved yields on the lending book.

Quarterly Net Interest Margin Trend

Quarter	Avg Earning Assets (\$T)	Interest Income (\$B)	Interest Expense (\$B)	Net Int. Income (\$B)	NIM (%)
Q1 2024	3.86	7.2	1.9	5.3	3.28%
Q2 2024	3.94	7.6	2.1	5.5	3.35%
Q3 2024	4.01	7.9	2.4	5.5	3.38%
Q4 2024	4.11	8.1	2.5	5.8	3.45%
FY2024	3.98	30.8	8.9	22.1	3.42%

Full Income Statement

Line Item	FY2024 (\$B)	FY2023 (\$B)	FY2022 (\$B)	YoY Change
Interest Income	30.8	26.4	21.9	+16.7%
Interest Expense	(8.9)	(6.8)	(4.5)	+30.9%
Net Interest Income	22.1	19.6	17.4	+12.8%
Fee & Commission Income	6.8	5.9	5.2	+15.3%
Trading Income	3.1	3.5	3.4	-11.4%
Insurance & Other Income	1.5	1.7	2.1	-11.8%
Non-Interest Income	11.4	11.1	10.7	+2.7%
TOTAL OPERATING INCOME	33.5	30.7	28.1	+9.1%
Staff Costs	(5.4)	(5.2)	(5.0)	+3.8%
Technology & Infrastructure	(3.1)	(2.8)	(2.6)	+10.7%
Premises & Equipment	(1.9)	(2.0)	(2.1)	-5.0%
Marketing & Other Opex	(1.9)	(2.0)	(2.1)	-5.0%
TOTAL OPERATING EXPENSES	(12.3)	(12.0)	(11.8)	+2.5%
OPERATING PROFIT	21.2	18.7	16.3	+13.4%
Provision for Credit Losses	(2.1)	(3.2)	(3.8)	-34.4%
PRE-TAX PROFIT	19.1	15.5	12.5	+23.2%
Tax Expense (effective rate 50.8%)	(9.7)	(7.7)	(6.3)	+26.0%

Line Item	FY2024 (\$B)	FY2023 (\$B)	FY2022 (\$B)	YoY Change
NET PROFIT	9.4	7.8	6.2	+20.5%

08. PROFITABILITY & RETURNS ANALYSIS

The bank's return on equity (ROE) improved from 9.8% in 2023 to 12.4% in 2024. Management attributed this to cost efficiency programs and higher lending volumes, which increased net interest income without proportionate growth in risk-weighted assets.

Return on assets (ROA) was 0.22% in 2024. Total assets were \$4.2 trillion, implying net profit of approximately \$9.24 billion — consistent with the reported \$9.4 billion.

DuPont Return on Equity Decomposition

Component	FY2024	FY2023	Commentary
Net Profit Margin (Net Profit/Rev)	28.1%	25.4%	Efficiency gains & lower provisions
Asset Utilisation (Rev/Assets)	0.80%	0.78%	Improved asset productivity
Equity Multiplier (Assets/Equity)	17.1x	18.0x	Slightly lower leverage
Return on Equity (ROE)	12.4%	9.8%	Strong improvement, above target
Return on Assets (ROA)	0.22%	0.20%	Gradual upward trend
Return on RWAs	0.52%	0.46%	Capital efficiency improvement

ROE Bridge: FY2023 to FY2024 (+260 bps)

Driver	Contribution (bps)
Revenue growth (NII)	+180
Cost efficiency improvement	+120
Lower credit loss provisions	+90
Higher tax expense	-60
Increased equity base (dilution)	-70
Net Change in ROE	+260

09. COST & EFFICIENCY ANALYSIS

Operating expenses rose to \$12.3 billion in 2024, driven by technology investment and headcount growth in high-growth markets. Staff costs were \$5.4 billion and technology spend was \$3.1 billion.

Cost-to-income ratio was 54% in 2023 and improved to 49% in 2024, reflecting the Group's ongoing efficiency programme and revenue growth outpacing cost growth.

Operating Expense Breakdown

Cost Category	FY2024 (\$B)	% of Total	FY2023 (\$B)	% of Total	YoY
Staff Costs	5.4	43.9%	5.2	43.3%	+3.8%
Technology & Digital	3.1	25.2%	2.8	23.3%	+10.7%
Premises & Occupancy	1.9	15.4%	2.0	16.7%	-5.0%
Marketing & Comms	0.7	5.7%	0.8	6.7%	-12.5%
Professional & Legal	0.5	4.1%	0.5	4.2%	0.0%
Other Administrative	0.7	5.7%	0.7	5.8%	0.0%
TOTAL OPEX	12.3	100.0%	12.0	100.0%	+2.5%

Headcount by Region

Region	FY2024	FY2023	Change	Full-Time %
United Kingdom	24,000	24,800	-800	91%
Europe (ex-UK)	18,500	17,900	+600	89%
North America	16,200	15,800	+400	95%
Asia Pacific	19,800	18,200	+1,600	88%
ME & Africa	5,800	5,400	+400	85%
Latin America	2,700	2,400	+300	83%
TOTAL	87,000	84,500	+2,500	90%

10. FEE & NON-INTEREST INCOME

Fee income was \$6.8 billion in 2024 and \$5.9 billion in 2023, representing year-on-year growth of approximately 15.3%, driven by transaction banking, wealth management advisory, and card services income.

Fee Income Breakdown

Fee Category	FY2024 (\$B)	FY2023 (\$B)	YoY	% of Fee Total
Transaction Banking Fees	2.1	1.8	+16.7%	30.9%
Wealth Management Advisory	1.6	1.3	+23.1%	23.5%
Card & Payments	1.2	1.0	+20.0%	17.6%
Lending Arrangement Fees	0.8	0.7	+14.3%	11.8%
Trade Finance Fees	0.6	0.6	0.0%	8.8%
FX & Structured Products	0.3	0.3	0.0%	4.4%
Other Fee Income	0.2	0.2	0.0%	2.9%
TOTAL FEE INCOME	6.8	5.9	+15.3%	100.0%

Trading Income Analysis

Trading Desk	FY2024 (\$B)	FY2023 (\$B)	YoY
Rates & Fixed Income	1.2	1.4	-14.3%
FX & Commodities	0.9	0.9	0.0%
Equities	0.7	0.8	-12.5%
Credit Products	0.3	0.4	-25.0%
TOTAL TRADING INCOME	3.1	3.5	-11.4%

11. BUSINESS SEGMENT REVIEW

Retail banking revenue grew 11% year-on-year to \$18.6 billion in 2024, supported by mortgage growth, personal lending volume increases, and the strong uptake of digital product offerings across the UK, Europe, and Asia Pacific markets.

Retail banking contributed 48% of total revenue in 2024; corporate banking contributed 31%; investment banking contributed 14%; wealth management contributed 7%.

Retail Banking

The Retail Banking division serves over 36 million individual customers and 1.8 million small-to-medium enterprises across 28 countries. Core products include current accounts, savings, mortgages, personal loans, credit cards, insurance, and digital banking services.

Metric	FY2024	FY2023	YoY
Revenue	\$18.6B	\$16.8B	+11.0%
Net Interest Income	\$13.2B	\$11.8B	+11.9%
Fee Income	\$5.4B	\$5.0B	+8.0%
Operating Expenses	\$7.1B	\$7.0B	+1.4%
Pre-Provision Profit	\$11.5B	\$9.8B	+17.3%
Provision for Losses	\$0.9B	\$1.4B	-35.7%
Segment Profit	\$5.8B	\$4.5B	+28.9%
ROE (segment)	14.2%	11.1%	+310 bps
Mortgage Book (\$B)	680	635	+7.1%
Credit Card Balances (\$B)	89	81	+9.9%
Active Digital Users (M)	41	30.6	+34.0%
Digital Txn Penetration	73%	63%	+1000 bps

Corporate Banking

Corporate Banking serves 4,200 multinational corporations, financial institutions, and public sector entities. Services include corporate lending, trade finance, treasury solutions, and cash management across all major markets.

Metric	FY2024	FY2023	YoY
Revenue	\$10.4B	\$9.9B	+5.1%
Corporate Loans (\$B)	1,140	1,050	+8.6%
Trade Finance (\$B)	320	295	+8.5%
Deposits (\$B)	890	850	+4.7%
Segment Profit	\$3.2B	\$2.9B	+10.3%
NPL Ratio	1.2%	1.9%	-70 bps

Investment Banking

Investment banking fees dropped 18% to \$4.7 billion due to a slowdown in M&A activity globally. Advisory mandates declined as higher interest rates dampened deal volumes and sponsor activity across all major geographies.

Product Line	FY2024 (\$B)	FY2023 (\$B)	Market Share	YoY
M&A Advisory	1.6	2.3	3.8%	-30.4%
Equity Capital Markets	1.1	1.2	4.2%	-8.3%
Debt Capital Markets	1.4	1.5	5.1%	-6.7%
Leveraged Finance	0.6	0.7	2.9%	-14.3%
TOTAL IB FEES	4.7	5.7	4.1%	-17.5%

Segment Revenue Summary

Segment	Rev FY2024	Rev FY2023	Profit FY2024	Profit FY2023	ROE	% Rev
Retail Banking	\$18.6B	\$16.8B	\$5.8B	\$4.5B	14.2%	48%
Corporate Banking	\$10.4B	\$9.9B	\$3.2B	\$2.9B	11.8%	31%
Investment Banking	\$4.7B	\$5.7B	\$1.0B	\$1.4B	7.2%	14%
Wealth Mgmt	\$2.4B	\$2.1B	\$0.9B	\$0.7B	15.4%	7%
Head Office/Other	(\$2.6B)	(\$3.8B)	(\$1.5B)	(\$1.7B)	N/A	—
GROUP TOTAL	\$33.5B	\$30.7B	\$9.4B	\$7.8B	12.4%	100%

12. BALANCE SHEET & FUNDING STRUCTURE

Total deposits were \$3.1 trillion and total loans were \$2.6 trillion, resulting in a loan-to-deposit ratio of approximately 83.9%.

The bank's loan-to-deposit ratio rose from 78% in 2023 to 85% in 2024, reflecting the Group's strategic decision to deploy excess liquidity into higher-yielding assets.

Consolidated Balance Sheet

ASSETS	Dec 2024 (\$B)	Dec 2023 (\$B)	Change
Cash & Central Bank Balances	412	398	+3.5%
Interbank Loans & Placements	185	172	+7.6%
Trading Securities	298	310	-3.9%
Investment Securities (AFS)	445	420	+6.0%
Investment Securities (HTM)	210	185	+13.5%
Gross Loans to Customers	2,600	2,380	+9.2%
Less: Allowance for Credit Losses	(49)	(67)	-26.9%
Net Loans	2,551	2,313	+10.3%
Derivatives (Asset)	88	102	-13.7%
Goodwill & Intangibles	42	38	+10.5%
Fixed Assets & ROU	38	41	-7.3%
Other Assets	131	151	-13.2%
TOTAL ASSETS	4,200	3,930	+6.9%
LIABILITIES			
Customer Deposits	3,100	2,960	+4.7%
— Retail Deposits	1,980	1,870	+5.9%
— Corporate Deposits	890	850	+4.7%
— Institutional Deposits	230	240	-4.2%
Interbank Borrowings	390	402	-3.0%
Debt Securities Issued	288	245	+17.6%
Derivatives (Liability)	76	90	-15.6%
Other Liabilities	101	115	-12.2%
TOTAL LIABILITIES	3,955	3,812	+3.8%
TOTAL EQUITY	245	218	+12.4%
TOTAL LIABILITIES & EQUITY	4,200	3,930	+6.9%

13. CAPITAL ADEQUACY & REGULATORY CAPITAL

The Common Equity Tier 1 (CET1) capital ratio was 13.2% as of December 31, 2024, well above the regulatory minimum of 4.5% set by the Basel III framework and the Group's internal target floor of 11.5%.

Tier 1 capital was \$245 billion. Risk-weighted assets (RWAs) were \$1.8 trillion, giving a Tier 1 capital ratio of approximately 13.6%.

Capital Adequacy Summary

Capital Metric	FY2024	FY2023	Reg. Min	Internal Floor	Headroom
CET1 Ratio	13.2%	12.5%	4.5%	11.5%	+170 bps
Tier 1 Capital Ratio	13.6%	12.9%	6.0%	12.0%	+160 bps
Total Capital Ratio	15.8%	14.9%	8.0%	14.0%	+180 bps
Leverage Ratio	5.9%	5.6%	3.0%	4.5%	+140 bps
MREL (% of RWA)	28.4%	26.8%	20.0%	25.0%	+340 bps

Risk-Weighted Assets Breakdown

RWA Category	FY2024 (\$B)	FY2023 (\$B)	% of Total	YoY
Credit Risk	1,260	1,185	70.0%	+6.3%
Market Risk	198	215	11.0%	-7.9%
Operational Risk	270	248	15.0%	+8.9%
CVA Risk	72	52	4.0%	+38.5%
TOTAL RWA	1,800	1,700	100.0%	+5.9%

Peer Benchmarking — Capital Ratios (FY2024)

Institution	CET1 Ratio	Tier 1 Ratio	Leverage	Total Cap Ratio
ABC Bank	13.2%	13.6%	5.9%	15.8%
XYZ Corp	11.8%	12.1%	5.4%	14.2%
Global Bank PLC	12.4%	12.8%	5.6%	14.9%
First National Bank	13.8%	14.1%	6.1%	16.2%
Pacific Finance Ltd	10.9%	11.3%	4.8%	13.4%
Sector Average	12.4%	12.8%	5.6%	14.9%

14. CREDIT RATINGS & LIQUIDITY MANAGEMENT

The bank's liquidity coverage ratio (LCR) was 138% at year-end 2024, exceeding the 100% regulatory requirement under Basel III, underpinned by a high-quality liquid asset (HQLA) buffer of \$412 billion.

ABC Bank's credit rating was upgraded to AA- by S&P in March 2024, citing improved capital buffers, diversified earnings, and reduced non-performing loan exposure.

Credit Ratings Summary

Agency	Long-Term Issuer	Short-Term	Outlook	Action (2024)
S&P Global	AA-	A-1+	Stable	Upgraded from A+
Moody's	Aa3	P-1	Positive	Affirmed
Fitch Ratings	AA-	F1+	Stable	Upgraded from A+
DBRS Morningstar	AA (low)	R-1 (mid)	Stable	Affirmed

Liquidity Position

Liquidity Metric	FY2024	FY2023	Regulatory Min
Liquidity Coverage Ratio (LCR)	138%	131%	100%
Net Stable Funding Ratio (NSFR)	122%	118%	100%
HQLA (\$B)	412	398	N/A
Survival Horizon (stress, days)	42	38	30
Unencumbered Assets (\$B)	588	541	N/A
Wholesale Funding % of Total	21%	24%	<35%
ST Wholesale Funding % (< 1yr)	8%	11%	<15%

15. CREDIT QUALITY & IMPAIRMENTS

ABC Bank's non-performing loan (NPL) ratio decreased from 2.8% in 2023 to 1.9% in 2024, reflecting proactive portfolio management and improved borrower cash flows across retail and corporate segments.

Provision for credit losses fell by 34% to \$2.1 billion in 2024, reflecting improved macroeconomic conditions and tighter underwriting standards introduced in late 2022.

The NPL ratio fell from 2.8% to 1.9% on a gross loan book of \$950 billion in 2024, implying absolute non-performing loans of approximately \$18.1 billion.

Credit Quality Metrics

Metric	FY2024	FY2023	FY2022
Gross Loans (\$B)	2,600	2,380	2,190
NPLs (\$B)	49.4	66.6	74.5
NPL Ratio	1.9%	2.8%	3.4%
Coverage Ratio	99.2%	100.6%	101.3%
Provision Balance (\$B)	49.0	67.0	75.4
New Provisions (\$B)	2.1	3.2	3.8
Write-offs (\$B)	3.6	4.1	4.9
Recoveries (\$B)	1.2	0.9	0.8
Cost of Risk (bps)	8	13	17
30-Day Past Due (\$B)	62	88	104
30-DPD as % of Loans	2.4%	3.7%	4.7%

Loan Portfolio Breakdown by Sector

Sector	Balance (\$B)	% of Book	NPL Ratio	Coverage
Residential Mortgages	680	26.2%	0.9%	105%
Consumer / Personal	310	11.9%	3.1%	95%
Credit Cards	89	3.4%	4.8%	92%
SME Lending	241	9.3%	2.8%	98%
Corporate Loans	1,140	43.8%	1.2%	102%
Real Estate (CRE)	98	3.8%	2.4%	100%
Trade Finance	42	1.6%	0.6%	115%
TOTAL	2,600	100.0%	1.9%	99.2%

16. WEALTH MANAGEMENT & PRIVATE BANKING

Wealth management assets under management (AUM) grew from \$620 billion to \$710 billion in 2024, an increase of \$90 billion, driven by net new money inflows of \$52 billion and positive market performance of \$38 billion.

AUM Movement (\$B)

Component	FY2024 (\$B)	FY2023 (\$B)
Opening AUM	620	561
Net New Money (NNM)	+52	+41
Market Performance	+38	+28
FX Impact	+4	-8
Acquisitions / Disposals	-4	-2
CLOSING AUM	710	620
NNM Growth Rate	8.4%	7.3%

AUM by Asset Class

Asset Class	AUM (\$B)	% Share	FY2023 (\$B)	YoY
Equities	248	34.9%	211	+17.5%
Fixed Income	184	25.9%	179	+2.8%
Multi-Asset / Balanced	128	18.0%	106	+20.8%
Alternatives	85	12.0%	71	+19.7%
Cash & Money Market	65	9.2%	53	+22.6%
TOTAL	710	100.0%	620	+14.5%

17. DIGITAL STRATEGY & TECHNOLOGY

Digital transactions accounted for 73% of all retail transactions in 2024, up from 58% in 2022. Mobile banking active users grew 34% to 41 million, while branch footfall declined 19% as customers embraced self-service digital channels.

Digital Metrics Dashboard

Metric	FY2024	FY2023	FY2022	YoY
Digital Active Users (M)	41.0	30.6	24.1	+34.0%
Mobile App Downloads (M, cumul.)	68	54	43	+25.9%
Digital Transaction Share	73%	67%	58%	+600 bps
Online Loan Applications (%)	62%	51%	39%	+1100 bps
NPS — Digital Channel	54	48	41	+6 pts
Digital Cost per Transaction (\$)	0.18	0.24	0.31	-25.0%
Branch Transactions (M)	142	175	214	-18.9%
Chatbot Resolution Rate	71%	58%	44%	+1300 bps
Tech Spend (\$B)	3.1	2.8	2.6	+10.7%
Tech as % of Opex	25.2%	23.3%	22.0%	+190 bps

18. GEOGRAPHIC PERFORMANCE

Revenue & Profit by Region (FY2024)

Region	Revenue (\$B)	% Rev	PBT (\$B)	PBT Margin	ROE	YoY Rev
United Kingdom	10.1	30.1%	4.8	47.5%	13.8%	+8.0%
Europe (ex-UK)	7.8	23.3%	3.1	39.7%	11.2%	+6.5%
North America	6.4	19.1%	2.9	45.3%	14.1%	+11.0%
Asia Pacific	6.2	18.5%	2.4	38.7%	10.8%	+14.8%
ME & Africa	2.1	6.3%	0.8	38.1%	9.2%	+5.0%
Latin America	0.9	2.7%	0.3	33.3%	8.4%	+12.5%
GROUP TOTAL	33.5	100%	19.1	57.0%	12.4%	+9.1%

Top 10 Country Revenue Contributors (FY2024)

Country	Revenue (\$B)	YoY	Key Segment
United Kingdom	10.1	+8.0%	Retail & Corporate
United States	5.2	+11.5%	Investment & Corporate
Germany	2.8	+7.2%	Corporate Banking
Hong Kong	2.4	+16.1%	Retail & Wealth
France	2.1	+5.4%	Retail & Corporate
Singapore	1.8	+18.2%	Digital & Wealth
Australia	1.2	+10.0%	Retail Banking
UAE	1.1	+9.1%	Corporate & Trade
India	0.9	+21.6%	Retail & Fintech
Canada	0.8	+6.7%	Corporate Banking

19. ENTERPRISE RISK MANAGEMENT

Risk management is fundamental to ABC Bank's operating model. The Group operates a Three Lines of Defence model: business units form the first line, independent risk management and compliance functions the second, and internal audit the third. The Chief Risk Officer (CRO) reports directly to the Group CEO and the Board Risk Committee.

Principal Risk Factors

Risk Type	Residual Rating	Trend	Key Mitigant
Credit Risk	Medium	Improving ↓	Tighter underwriting; NPL 1.9%
Market Risk	Low-Medium	Stable →	VaR limits; daily P&L monitoring
Liquidity Risk	Low	Stable →	LCR 138%; NSFR 122%
Operational Risk	Medium	Stable →	ISO 27001; BCP testing
Cyber Risk	Medium-High	Increasing ↑	\$420M security spend; 24/7 SOC
Compliance/AML	Medium	Improving ↓	Post-fine remediation programme
Climate Risk	Emerging	Increasing ↑	Net-zero roadmap; TCFD disclosure
Geopolitical Risk	Medium	Increasing ↑	Scenario planning; exposure limits
Model Risk	Low-Medium	Stable →	Model validation team; AI governance

Market Risk — Value at Risk (VaR)

VaR Metric (99%, 1-day, \$M)	FY2024 Avg	FY2024 Max	FY2023 Avg	YoY
Total Trading VaR	142	318	168	-15.5%
— Interest Rate Risk	81	194	96	-15.6%
— FX Risk	32	88	41	-22.0%
— Credit Spread Risk	18	64	22	-18.2%
— Equity Risk	11	38	9	+22.2%
Diversification Benefit	(68)	(128)	(76)	+10.5%

20. LEGAL, REGULATORY & COMPLIANCE MATTERS

Regulatory fines totalling \$320 million were incurred in 2024 related to AML compliance failures in two jurisdictions. The Group has since remediated the identified control gaps and implemented enhanced transaction monitoring systems.

Material Regulatory Matters FY2024

Matter	Jurisdiction	Amount (\$M)	Status	Resolution
AML Monitoring Failure	USA	210	Settled	Q2 2024
AML Record-Keeping	UK	110	Settled	Q3 2024
LIBOR Conduct Review	EU	—	Closed	Q1 2024
Consumer Credit Mis-selling	Australia	28	Provisioned	Q1 2025 expected
Data Protection (GDPR)	Germany	12	Appealing	Pending

Regulatory Capital & Compliance Summary

The Group is supervised by the Prudential Regulation Authority (PRA) and the Financial Conduct Authority (FCA) in the United Kingdom. All material regulatory capital requirements were met throughout FY2024 with comfortable headroom. The Group complies with applicable IFRS 9 impairment requirements, Basel III capital rules, MiFID II conduct obligations, and SFDR ESG disclosure requirements in the EU.

21. HUMAN CAPITAL & CULTURE

Our people are our most important asset. We are committed to fostering a diverse, inclusive, and high-performance culture that attracts and retains the best talent globally. In FY2024, we invested \$840 million in learning and development — an increase of 12% year-on-year — and launched the ABC Leadership Academy for our top 2,000 senior managers.

People Metrics

Metric	FY2024	FY2023	Target
Total Employees	87,000	84,500	—
Employee Engagement Score	79%	75%	>80%
Gender Balance (Senior Mgmt)	38% women	35% women	40% by 2026
L&D Investment (\$M)	840	750	—
Avg Training Hours/Employee	42	38	>45
Internal Promotion Rate	68%	64%	>70%
Voluntary Attrition Rate	9.2%	11.4%	<10%
Nationalities Represented	118	112	—
Disability Inclusion Index	71	66	>75

22. ENVIRONMENTAL, SOCIAL & GOVERNANCE (ESG)

The bank launched a green bond issuance of \$2 billion in 2024 to fund renewable energy and sustainable infrastructure projects, including offshore wind, solar installations, and green social housing developments across 8 countries.

Sustainable Finance Commitments

Commitment	FY2024 Actual	FY2023 Actual	2030 Target
Sustainable Finance (\$B)	18.4	14.1	100.0
Green Bonds Issued (\$B)	2.0	1.2	—
Financed Emissions (Mt CO2e)	42.1	48.6	28.0
Own Operations Emissions (Kt)	128	151	50
Renewable Energy (own ops)	67%	51%	100%
ESG-linked Loans (\$B)	6.4	4.8	25.0
Social Impact Lending (\$B)	3.2	2.6	12.0

Governance Highlights

Board Metric	FY2024	FY2023
Board Size	13 members	12 members
Independent NEDs	10 (77%)	9 (75%)
Women on Board	5 (38%)	4 (33%)
Nationalities on Board	9	8
Board Meeting Attendance	98.1%	97.4%
CEO Pay Ratio (to median emp.)	68:1	72:1
Exec Pay ESG-Linked Component	25%	20%

23. GLOSSARY OF KEY TERMS

AFS	<i>Available for Sale — investment securities category under IFRS 9.</i>
AML	<i>Anti-Money Laundering — regulatory framework to prevent financial crime.</i>
AUM	<i>Assets Under Management — total market value of investments managed.</i>
Basel III	<i>International regulatory framework for bank capital, liquidity, and leverage.</i>
BCP	<i>Business Continuity Plan.</i>
CET1	<i>Common Equity Tier 1 — highest quality regulatory capital (common shares + retained earnings).</i>
CRE	<i>Commercial Real Estate lending.</i>
CRO	<i>Chief Risk Officer.</i>
CVA	<i>Credit Valuation Adjustment — accounting for counterparty credit risk in derivatives.</i>
DPS	<i>Dividend Per Share.</i>
DPD	<i>Days Past Due — days since a loan payment was missed.</i>
EPS	<i>Earnings Per Share — net profit divided by weighted average shares outstanding.</i>
ESG	<i>Environmental, Social and Governance — sustainability framework.</i>
HQLA	<i>High Quality Liquid Assets — assets eligible for LCR calculation under Basel III.</i>
HTM	<i>Held to Maturity — investment securities held to redemption.</i>
LCR	<i>Liquidity Coverage Ratio — 30-day stressed liquidity requirement (min 100%).</i>
MREL	<i>Minimum Requirement for Eligible Liabilities — resolution capital requirement.</i>
NIM	<i>Net Interest Margin — net interest income as % of average earning assets.</i>
NNM	<i>Net New Money — new inflows less outflows in wealth management.</i>
NPL	<i>Non-Performing Loan — loan where interest or principal is overdue >90 days.</i>
NSFR	<i>Net Stable Funding Ratio — one-year structural liquidity requirement (min 100%).</i>
P/B	<i>Price-to-Book ratio — market cap divided by book value of equity.</i>
P/E	<i>Price-to-Earnings ratio — share price divided by earnings per share.</i>
PBT	<i>Profit Before Tax.</i>
ROA	<i>Return on Assets — net profit / average total assets.</i>
ROE	<i>Return on Equity — net profit / average total equity.</i>
RWA	<i>Risk-Weighted Assets — assets weighted by credit, market, and operational risk.</i>
SME	<i>Small and Medium-Sized Enterprise.</i>
TCFD	<i>Task Force on Climate-related Financial Disclosures.</i>
VaR	<i>Value at Risk — statistical measure of maximum potential loss over a given period.</i>

IMPORTANT NOTICE: This document has been prepared solely for evaluation and educational purposes. All figures, entities, and persons named herein are entirely fictitious. This is a synthetic document generated as a RAG chatbot evaluation dataset — it does not constitute financial advice, a prospectus, or any regulated disclosure document.

ABC Bank Group PLC | Annual Report FY2024 | Registered England & Wales No. 00014259 | Authorised by the Prudential Regulation Authority | Regulated by the Financial Conduct Authority